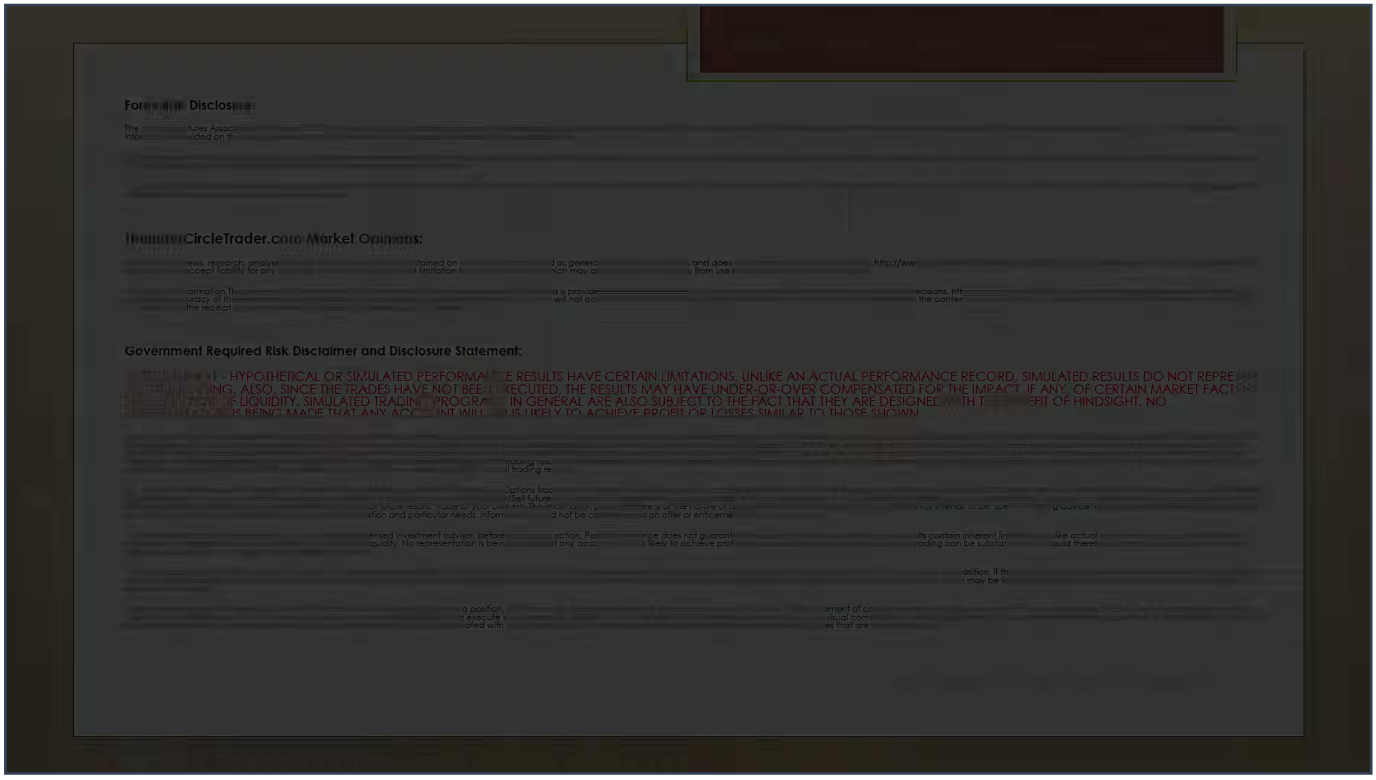
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - INSTITUTIONAL ORDER FLOW



Welcome to Lesson Two of November, the third month of the ICT Mentorship. This lesson will focus on institutional order flow and how to easily identify it. We will build upon the previous lesson and use the Euro Dollar example, specifically referencing the order block shown earlier in Lesson One.

Looking at a monthly chart, the open is at 151.987, and the low is at 51.45. The high is at 5151 and 5143, indicating high sensitivity. The goal is to anticipate an ideal scenario unfolding in this sensitive area when observed on a monthly chart.

In Lesson One, we discussed the high probability of stops resting below specific lows. Focus on how the bodies of the candles merge in the same general area, ignoring the wicks. Below these lows, there will be a large pocket of liquidity in the form of cell stops.

On a monthly chart, if there is a high level of sensitivity at a certain point, it's because the market has already moved up and closed within that range. If the market is likely to trade lower, it will seek the liquidity below these defined lows.

For institutional order flow, think from a market efficiency paradigm, acting as a market maker. The objective is to find the maximum level of liquidity in relation to past and present market prices.

If the market has traded higher, and there was a liquidity void (represented by a series of down black candles) that the market closed in, it signifies that the market has rebalanced. Price was delivered downwards, and then it returned to close that gap by trading upwards.

- Wherever there is a black (down) candle, there must be a green (up) candle to balance.

- Identify where the market will reach for its next level of liquidity.

MARKET SEEKING LIQUIDITY AFTER STOP RUNS

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After a run down that clears out stops, the market has absorbed liquidity in that area. It then often returns to a bullish order block (the down candle before the up move). From this point, the market will seek liquidity on the upside.

The next area of liquidity typically resides at the last up candle where selling occurred, or where another liquidity void (all down black candles) was created. To balance the market's previous offering on the sell side, there must be an offering on the buy side, represented by green (up) candles. This principle of balancing repeats itself.

MEAN THRESHOLD AND THE ROLE OF WICKS

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Always observe the mean threshold (middle) of the up candle, noting how the bodies of the candles respect this level. There will often be an 'outrun' on price with the wicks, which is erroneous price action, sometimes due to brokers widening spreads. This should be allowed for.

When price trades up and hits an area of liquidity, the next expectation is for it to trade towards the largest area of liquidity, which is typically resting below previous lows.

DIFFERENTIATING WICKS AND CANDLE BODIES

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Unlike classic technical analysis which considers the wick as the low, ICT methodology emphasizes that the bodies of the candles represent the true institutional volume. There is a significant difference:

- Wicks are generally related to retail pricing and retail stops, as observed on retail platforms. They often provide erroneous or extreme price delivery.

- The bulk of the candle bodies are closer to interbank prices and represent institutional volume.

Therefore, most analysis should be conducted around the bodies of the candles.

If the bodies of the candles define the 'real low,' and everything beyond is considered retail, price will trade just below the bodies of the candle to seek the truest form of institutional volume.

For now, anticipate price closing within its range. Similar to a previous up candle where downward price movement returned to close its range, the market will then run for liquidity below. Understanding where the market is most likely to reach for, especially on a monthly chart, is key.

If you can define the market and anticipate a topping out, you can predict movement. For instance, if a low is violated, there is a potential for a range that clears out consolidation, with stops resting below. The market would be reasonably expected to run through these stops.

When observing a bullish order block, notice that while a wick might penetrate it, the body of the candle typically trades into that order block. This is the primary requirement for trading into an order block. On a monthly chart, expect expansion and a run on liquidity.

- Wicks are not significant barriers for institutional order flow.

- A large number of stops are expected to rest below the wicks (or inside the wicks) but specifically below the bodies of the candle.

Price trades from the bodies of the candles into specific areas, actively seeking liquidity below all the bodies of the candles and wicks. This action effectively recapitalizes an order block.

Observe how the bodies of the candles consistently respect and stay above the bullishness of a particular candle. At this point, it would be reasonable to expect price to trade down to that defined level.

When a bullish order block is recapitalized and stops are cleared, the next expected move is for price to reach into an overhead void to capitalize on that price level.

- Institutional order flow can be bearish until it reaches a specific low.

- After reaching that low, it will then seek liquidity on the upside, leading to prices running up.

- This phase represents bullish institutional order flow.

- Once price reaches a certain high point, the focus shifts to stops below new lows, leading to a swing in institutional order flow to the downside.

Observe how candle bodies are violated by a down candle, clearing out stops, and price retraces into a bullish order block. From there, price is expected to rally up to a bearish order block. Throughout this rally, institutional order flow is bullish.

This pattern of seeking liquidity repeats. The critical point is that price needs to reach below the bodies of the candle, not necessarily penetrate the wicks, to access institutional order flow. When institutional order flow is bearish, it is indicated by its presence in the 'red area' (visual context from video implied).

MULTI-TIMEFRAME ANALYSIS: MONTHLY TO WEEKLY

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To internalize the marketplace, start with a monthly chart setup. Then, break down the market into a weekly chart. This allows for mapping out extensive periods, like the Euro Dollar from mid-2008 to mid-2012, simply by understanding monthly institutional order flow levels.

- The 'secrets' of trading lie in identifying these levels on higher timeframes (monthly/weekly).

- Higher timeframe charts indicate where large funds have their money and where banks will reprice to.

- Retail traders are too small to influence these large-scale movements directly.

BEARISH ORDER BLOCKS AND EXPECTED PRICE MOVEMENT

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When expecting bearishness and selling, a decline may see a retracement back into a bearish order block. Although wicks might penetrate, the candle body is where you'd look to be a seller. If the wick does not violate the up candle, a bearish order block is respected, and price expands lower.

Price may create a down candle just before an up move. In times when institutional order flow expects prices to move up into a bearish order block, you would anticipate buying in areas where bullish prices are expected. This bullish expectation holds until price reaches the monthly bearish order block. At that point, price is reasonably expected to go lower to seek stops below the bodies of the candles.

IDENTIFYING DOWNSIDE EXPANSION AND BREAKER BLOCKS

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The market offers clear price delivery. When price is repelled and breaks down, observe when it becomes apparent that it will go lower. This occurs when the last up (green) candle is violated by a subsequent down (black) candle. At this point, expect price to expand on the downside.

After an initial move lower, a small retracement higher often occurs. This retracement trades back into a down candle, which acts as a 'breaker.' A breaker breaks highs where initial sellers would have had their buy stops resting. These stops are then cleared out, and price moves lower. The down candle in this scenario is where new selling is populated.

MITIGATION OF LONGS AND BEARISH ORDER BLOCK CONFIRMATION

TIMESTAMP: 00:15:09

When selling occurs in a specific area, it represents the mitigation of existing long positions that were used to drive price higher. These long orders are taken off, leading to accelerated downward movement.

Observe an up candle followed by a down move, and then a retracement back up into a bearish order block. When price trades into this bearish order block, it immediately sells off again, confirming the bearish institutional order flow.

HEDGING AND UNWINDING AT THE BANK LEVEL

TIMESTAMP:
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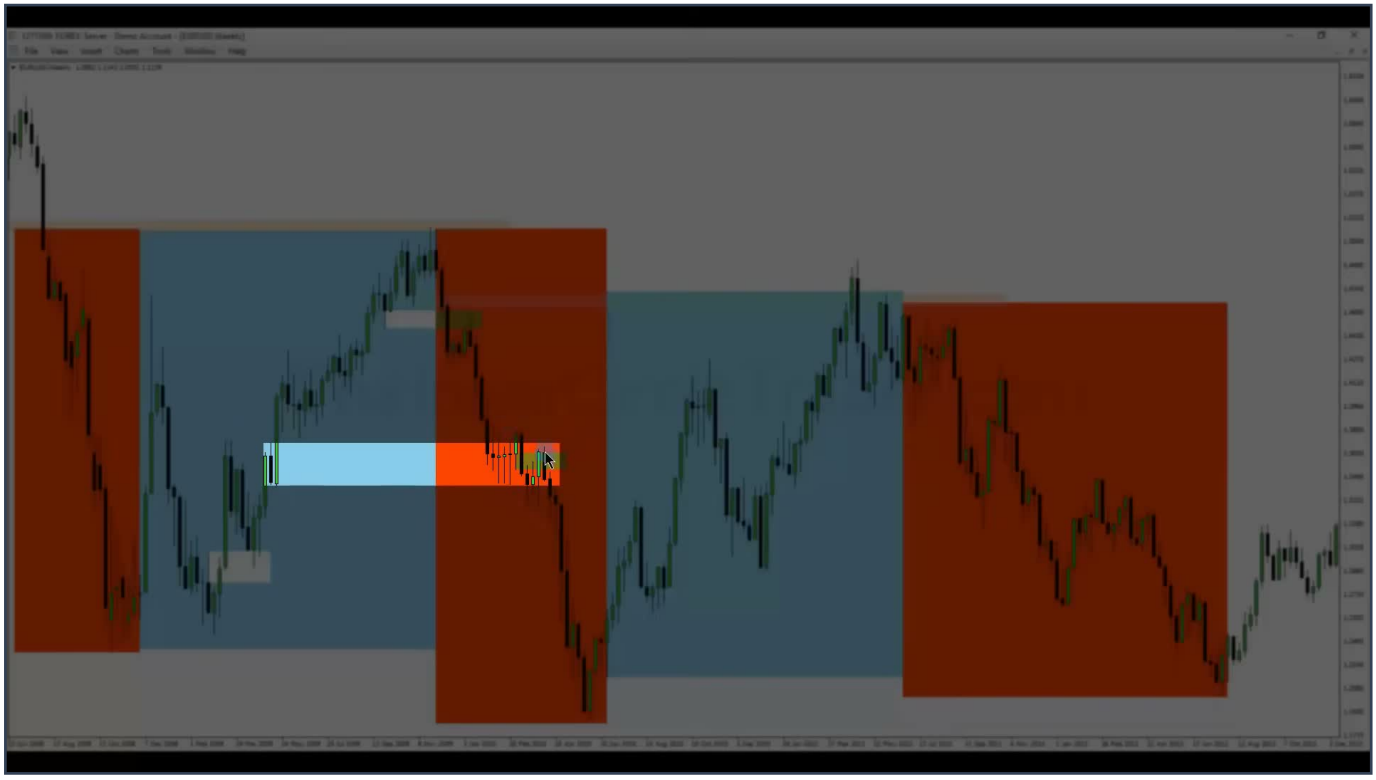
Institutional order flow always seeks stops below. The formation of certain signals and patterns is often due to the undoing of a previous bias. For example, a down candle acting as a bullish order block should attract buying, leading to an explosive move. This selling action then unwinds the long positions that were initiated.

At the bank level, everything is a hedge. Between range extremes, there is constant buying and selling for bookmaking. Banks may have a net bearish book and profit from falling prices, but they also have to buy. While anticipating further selling, they must take off the long orders previously used to push price higher. This is the unwinding process.



Observe the left side of the chart: whatever actions were taken to go long will eventually be unwound on the sell side. This forms the basis of a market maker sell profile, characterized by:

- Consolidation

- Return to consolidation

- Accumulation (Smart Money Reversal)

- Low-risk short entry

- Redistribution (repeated)

The market then reaches below the consolidation, taking out resting stops.

POST-STOP RUN INSTITUTIONAL ORDER FLOW SHIFT

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After stops are cleared, the market seeks another layer of institutional order flow on the opposite side. This typically manifests as a return to a bearish order block (previously identified on the monthly chart).

However, between the bearish order block and the point where a run on stops occurs, the market is in a bullish institutional order flow environment. During this period, expect the market to trade back into down candles, indicating that new buying should occur at these levels.

BULLISH ORDER BLOCKS AND PRICE EXPANSION

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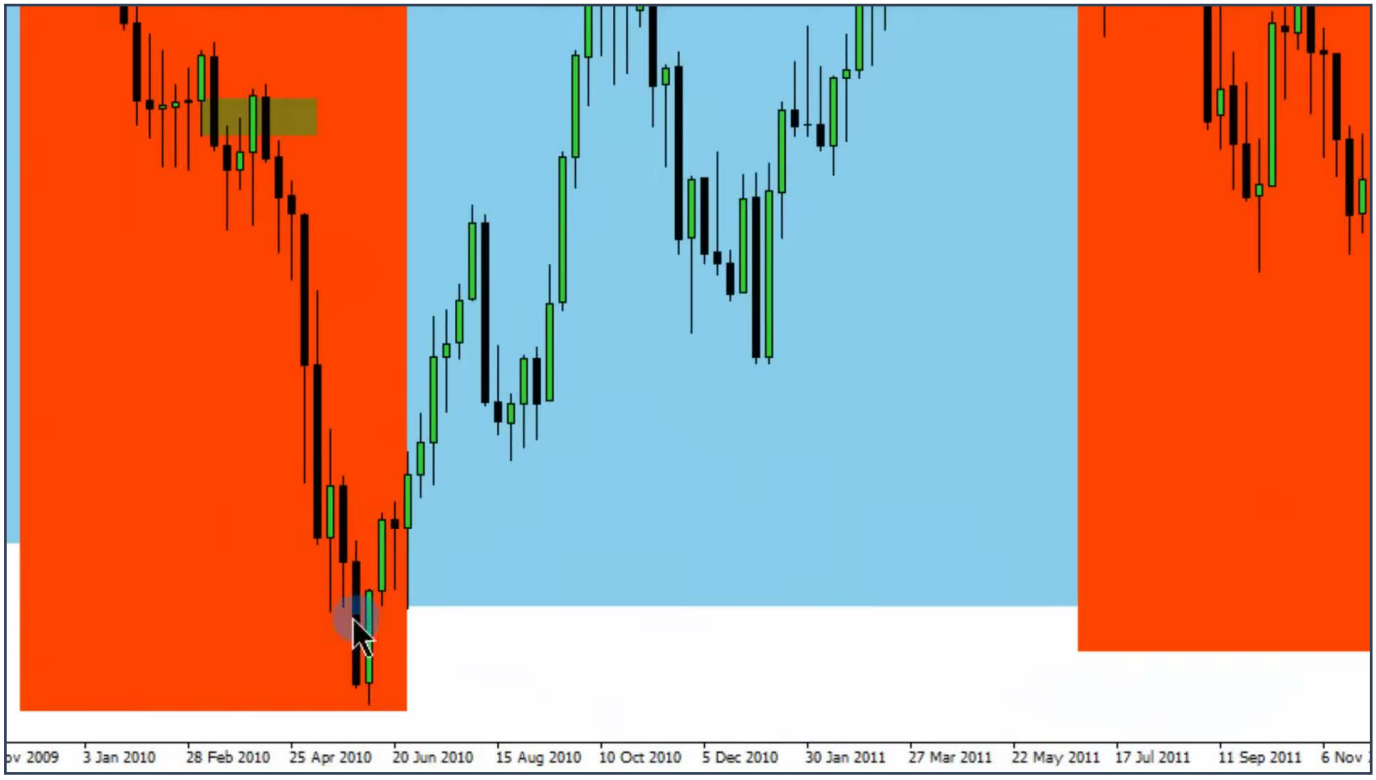

A down candle immediately preceding an up move acts as a bullish order block. Observe price wicking down into this candle, from its high down to its middle. For example, if a candle's low is 21.51, and this is below the previous candle's low, price buying into this down candle indicates expansion higher.

After expansion, price typically retraces and trades into an up candle.

When price trades into an up candle, it signifies that smart money sold there. They sold to drive price below lows, creating a run on stops. The up candle was used to attract sellers with their sell stops.

- Smart money wants sellers because sell stops become counterparty market orders for them to buy.

- Smart money activates these sell stops and buys them up.

- Once price trades through that level, it will often come back down and trade right back into the last up candle.

This return is to mitigate the short positions smart money has on. The wick down to the body of this candle forms a 'mitigation block.'

AGGRESSIVE EXPANSION FROM MITIGATION AND NET LONG POSITIONS

TIMESTAMP: 00:19:18

Price descends and hits the mitigation block. Smart money, having sold as price went higher and then driven it lower to run stops, finds their short orders underwater as price is now higher.

When price returns to the range from the high down to the body of the candle, smart money can take off their shorts and buy them. This results in explosive price action due to:

- Buying to cover existing shorts.

- Buying more for new net long positions.

This combination leads to aggressive price expansion.

BULLISH ORDER BLOCK OBJECTIVES AND CONTINUATION

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When a down candle appears just before an up move, and institutional order flow is bullish (within the shaded area), price will trade down into the bullish order block. New buying is expected, leading to upward expansion.

Expected price objectives:

- First objective: Price should trade up to the previous up candle.

- Second objective: Price moves above this high to clear stops.

- Third objective: Expansion continues, closing into the range of a bearish order block (the last up candle).

Price then retraces, finds support at a bullish order block again, runs through previous highs, and then sweeps into the monthly bearish order block. After this, price can break down again.

CONFIRMING BEARISHNESS AND SEEKING DOWNSIDE LIQUIDITY

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Bearishness is confirmed when price breaks the last up candle in an area where bearishness is expected.

- Price breaks the last up candle, then retraces back to the bottom of that up candle. This retrade signals expected downside movement.

- Price breaks lower again, retraces back into a bearish order block (for good measure), and then breaks down further.

- After potential rallies, price ultimately trades lower, reaching for liquidity below the bodies of the candles at previous lows, eventually returning to a bullish order block.

DAILY CHART DEFINITION AND ORDER BLOCK INTERACTION

TIMESTAMP: 00:23:34

By starting with monthly and weekly charts and then moving to a daily chart, significantly more definition becomes visible.

- A bullish candle (down candle before an up move) can act as a bearish order block if price drives lower and then retraces into it, with candle bodies respecting its middle. This can lead to a sell-off.

- The market then creates a bullish order block (down candle before an up move), rallies, clearing short-term highs, and retreats back to the last down candle.

- A down candle serving as a propulsion candle can rally price upwards. A small drop may hit the exact high of a previous candle (e.g., high 28.02, low 27.95 into the candle body), leading to rallies into a bearish order block.

Even if the daily chart shows continuous drops (e.g., in a blue shaded area), the monthly institutional order flow might indicate an impending buy opportunity.

- At these lower levels, anticipate buying, but wait for price to break above a short-term high.

- A violation of a short-term high confirms buyer presence.

- Then, wait for price to retrace back down into the monthly bullish order block.

When price hits this bullish order block on the daily chart, a quick expansion in price often follows. A down candle that rallies away and then returns to trade back into itself on the daily chart further confirms this.

CONSECUTIVE BUYING AT DOWN CANDLES IN BULLISH FLOW

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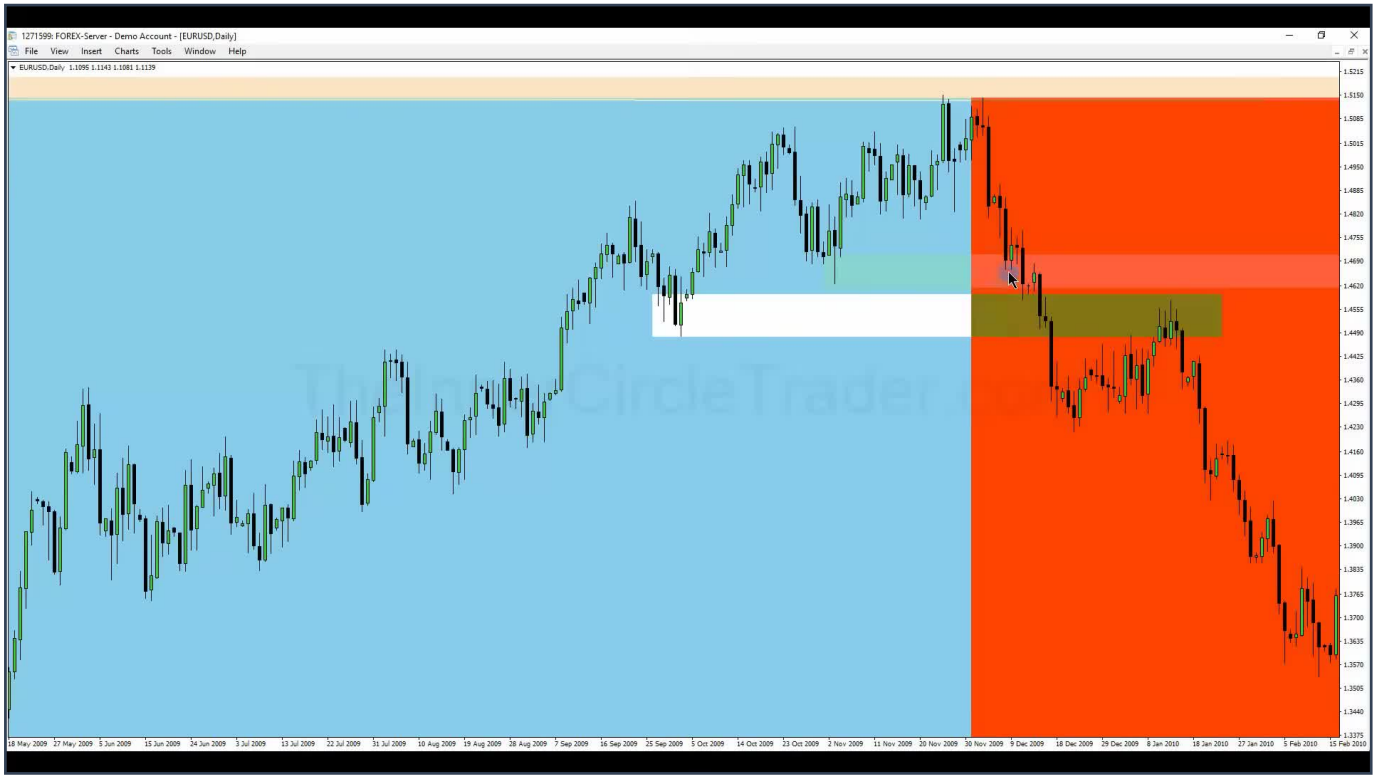

When institutional order flow is bullish, continually identify down candles as buying opportunities.

- Draw out a down candle in time; buying can occur at this level.

- Even after rallies, if price retraces back into another down candle (e.g., high 3436, low 3423 into the down candle), it presents another buying opportunity, leading to explosive moves and continued higher prices.

- This pattern continues, with price consistently dipping back into down candles (or bullish order blocks, even a single order block representing multiple down candles with its halfway point) for new buying, resulting in further rallies.

HIGHER TIMEFRAME ORDER BLOCKS DRIVING DAILY REACTIONS

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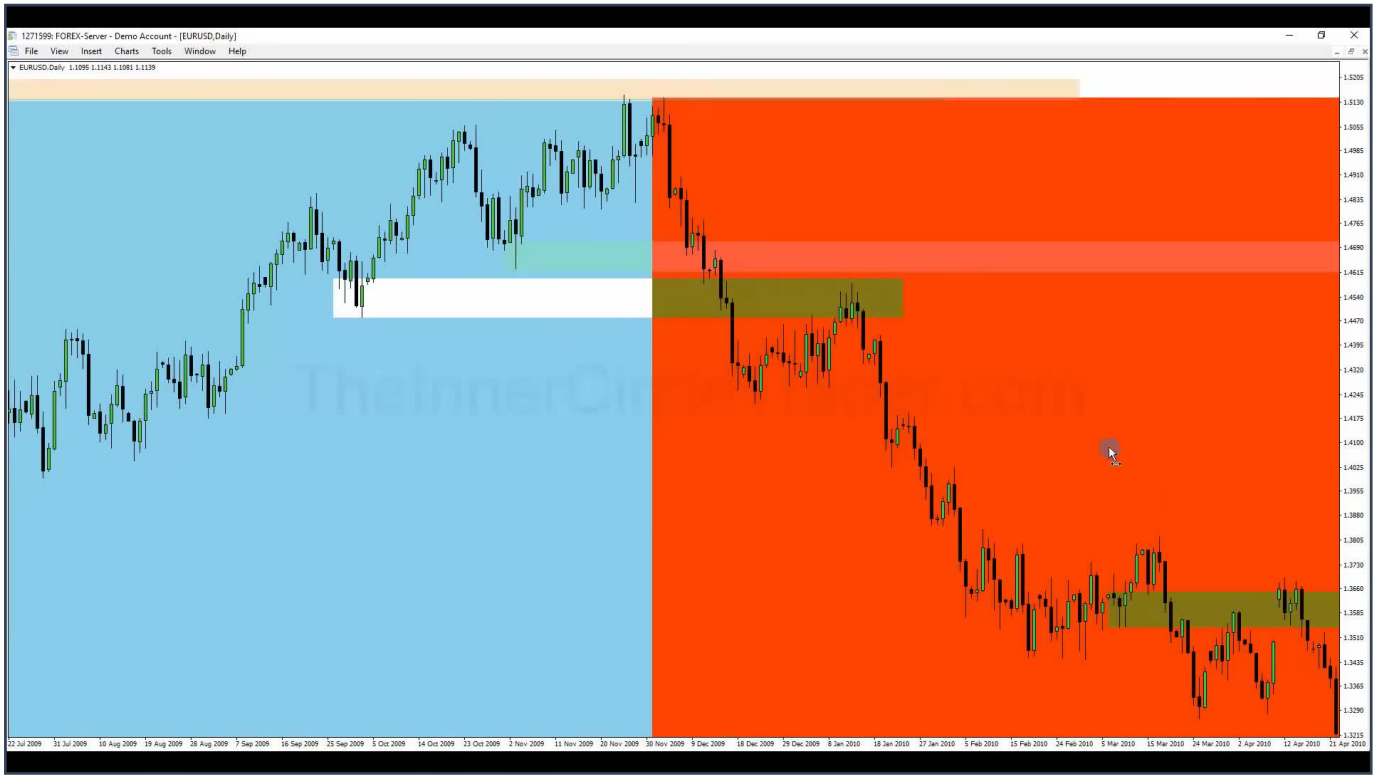

It is crucial to remember the monthly and weekly order blocks, as they often explain strong reactions on lower timeframes.

- If there's no visible bullish order block on the current timeframe, the powerful price response (e.g., rallies) is likely due to an order block identified on the weekly or monthly charts.

- Price rallies away, retraces into a bearish candle (which acts as a bullish order block), and then rallies again.

- This pattern continues, with price trading into order blocks (e.g., below 4626) and rallying, often reaching for the monthly bearish order block (the last up candle).

- When a monthly bearish order block is violated, expect bearishness.

After price breaks down, wait for a return to:

- A breaker block.

- A bearish order block.

- A stop run on an old high.

In a bearish environment, expect markets to continuously move lower. On the daily chart, use old lows as targets for price to reach for or expand down to. When institutional order flow is bearish (especially confirmed by monthly and weekly charts), lower prices are suggested.

MONTHLY ORDER BLOCKS BECOMING DAILY MITIGATION BLOCKS

TIMESTAMP: 00:27:51

When the market returns to a monthly order block, it often acts as a mitigation block on the daily chart. This signifies the unwinding of positions that were previously bought.

- This also often aligns with a 'breaker' setup, where the market breaks an old high.

- What is observed as a clear event on the daily chart is fundamentally driven and seen on the monthly and weekly timeframes.

RECURRING BEARISH PATTERNS: ORDER BLOCKS AND STOP RUNS

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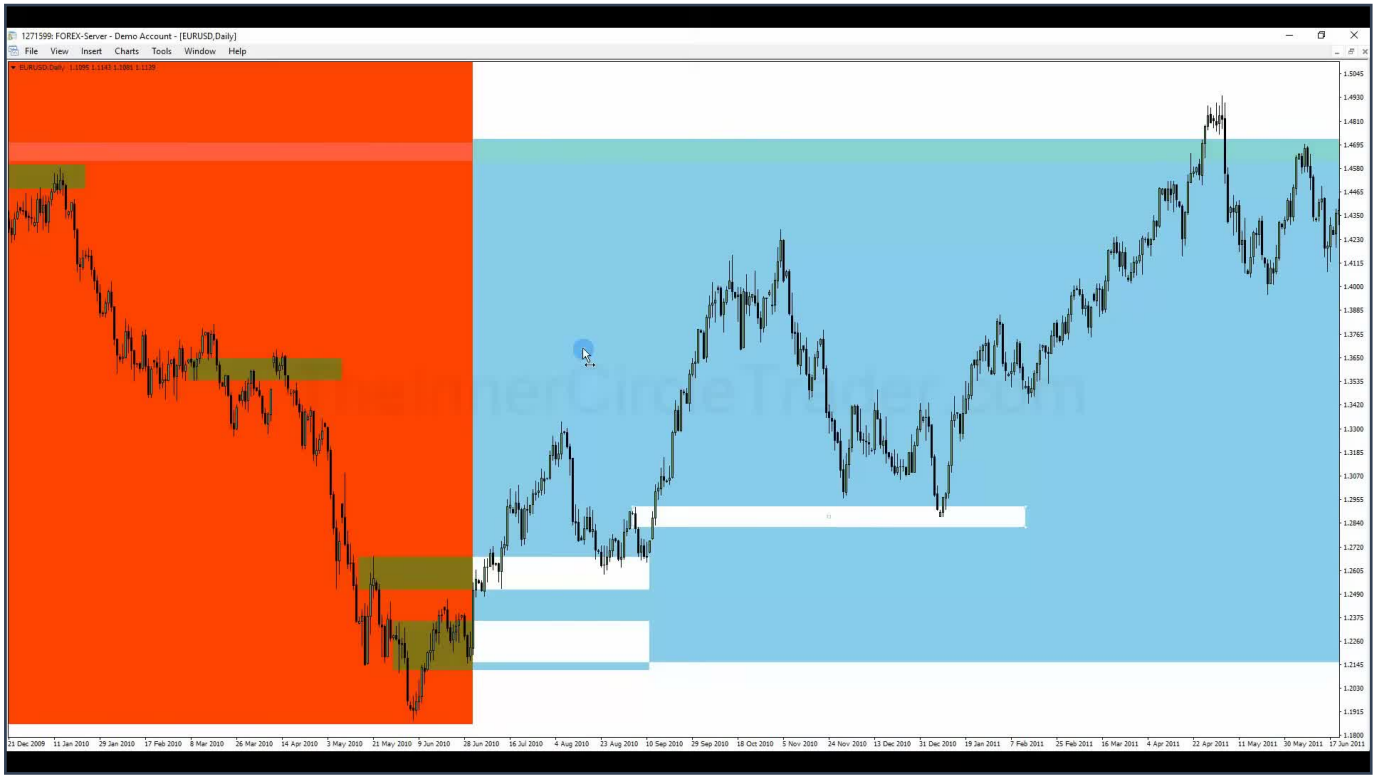

In bearish institutional order flow (often marked as a 'red area'), recurring patterns emerge:

- New Bearish Order Blocks: Every time the market creates a new bearish order block (the last up candle before a down move), it leads to a sell-off.

- Run Above Old Highs: The market runs above old highs, clearing liquidity, and then sells off. This repeats.

- Retracement to Bearish Order Blocks: Price retraces back to the last up candle before a down move, and then sells off, even in messy price action, trading through the body of the candle.

BULLISH INSTITUTIONAL ORDER FLOW AND HIGHER TIMEFRAME SENSITIVITY

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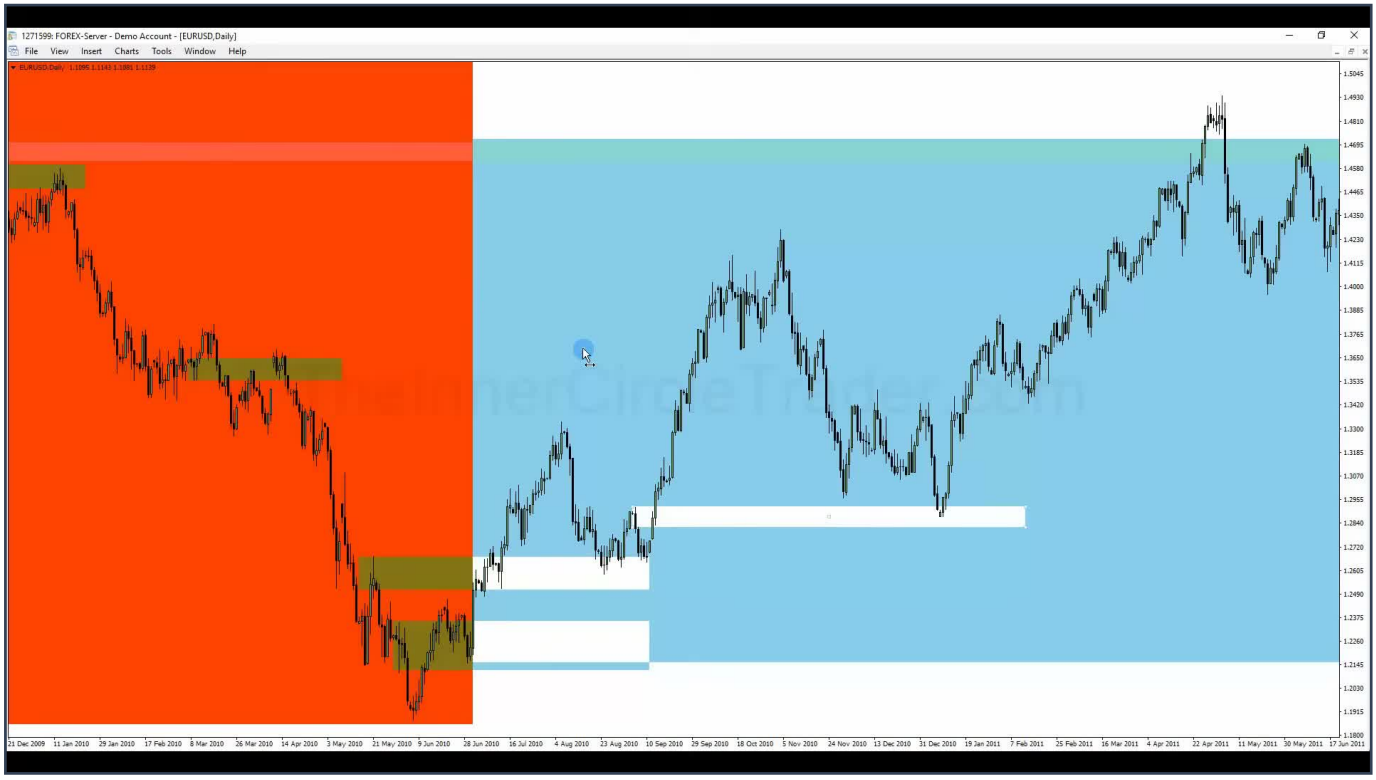

When institutional order flow enters a bullish phase, observe the sensitivity on the daily chart, which is driven by levels found on the monthly and weekly timeframes.

- Identify the last down candle (bullish order block) and wait for the up move. Price trades into this order block, often aligning with a higher timeframe order block.

- Multiple buying opportunities occur at these down candles, leading to explosive price rallies.

- This sensitivity and responsiveness, originating from monthly and weekly analysis, drives price towards liquidity above old highs and into monthly bearish order blocks.

THE ESSENCE OF INSTITUTIONAL ORDER FLOW: SEEKING WHALE LIQUIDITY

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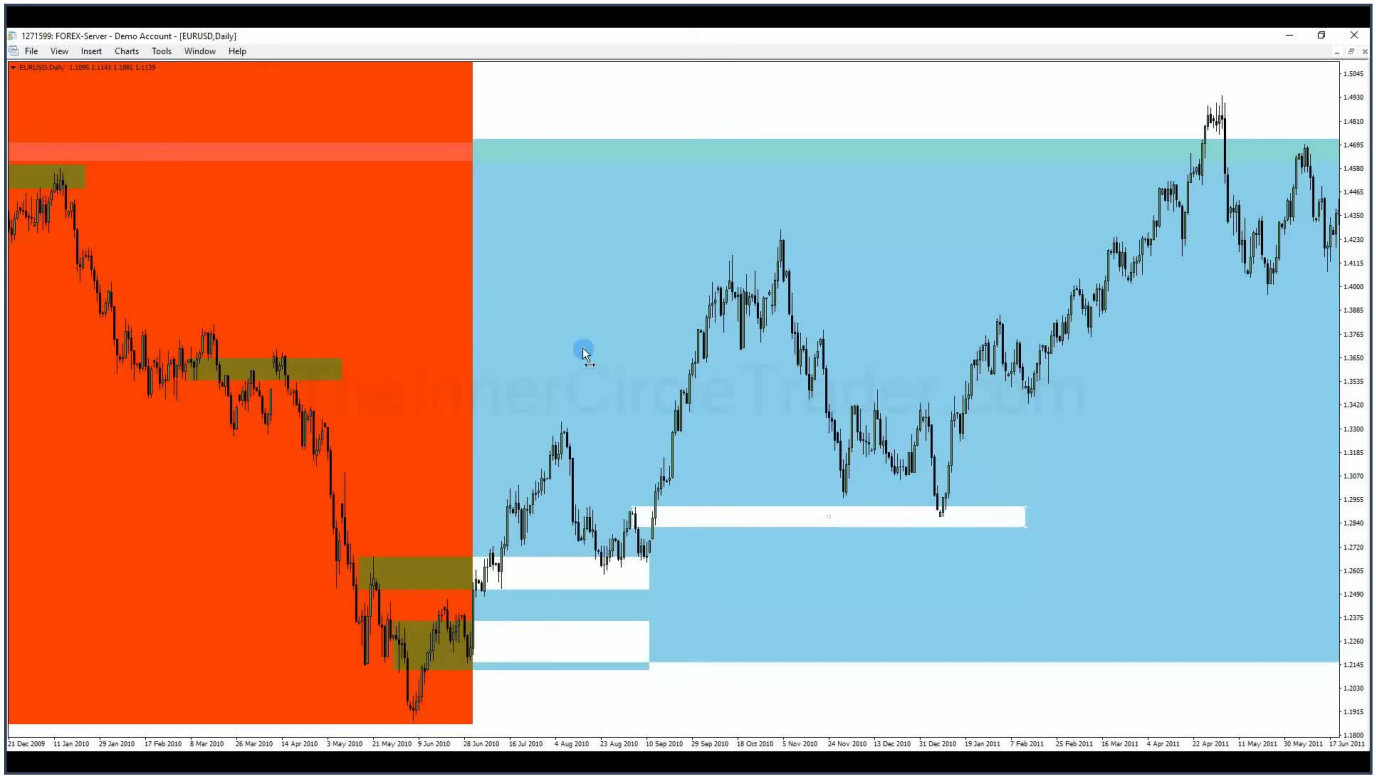

Institutional order flow is fundamentally the seeking of large institutional liquidity. This liquidity is found on monthly and weekly charts, and its impact is then observed on the daily chart.

- The daily chart consistently seeks 'fund-level' institutional order flow (the stops that are found on monthly and weekly charts).

- The biggest moves and signals with the greatest magnitude are always found on monthly and weekly timeframes because this is where the 'whales' (large funds controlling billions of dollars) operate.

- The market moves to these levels because that's where large orders exist, which banks can counterparty with. Individual retail traders are not large enough to be direct counterparties to banks.

By identifying levels on monthly and weekly charts and transposing them to your daily chart, you can:

- See major price shifts coming before they happen, instead of realizing them after the fact.

- Understand, relative to institutional order flow, where stops or liquidity reside.

- For bullish scenarios: Know where the market should be reaching for (liquidity above the marketplace) if it starts trading higher.

- For bearish scenarios: Before selling short, know where the market will reach for (sell stops below recent lows or a bullish order block).

The market continuously seeks liquidity, not necessarily retail stops, but the stops found on the monthly, weekly, and daily charts because that's where large funds (whales) reside. This is what drives price. The market goes to these levels to either:

- Take participants out of the market.

- Draw them in as counterparties to their intended purpose (e.g., being a buyer counterparty to sell stops or a seller counterparty to buy stops).

This is the core nature of institutional order flow.